

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 17-04

REGULATORY REFORM INITIATIVE

**COMMENTS OF THE NATIONAL CUSTOMS BROKERS AND FORWARDERS
ASSOCIATION OF AMERICA, INC.**

The National Customs Brokers and Forwarders Association of America, Inc. (“NCBFAA” or “Association”), submits these comments in response to the Notice of Inquiry (“NOI”) published in this docket June 1, 2017 (82 Fed. Reg. 25221).

The NCBFAA, together with its 1,000 members and 28 regional associations, is the national trade association representing the interests of freight forwarders, NVOCCs and customs brokers in the ocean shipping industry. The NCBFAA’s members are involved in the transportation and/or logistical arrangements for approximately 90% of the cargo that moves into and out of the United States by ocean. As most of the NCBFAA’s members operate as NVOCCs or ocean forwarders, they are accordingly directly affected by the Commission’s regulations and policies.

The NCBFAA is aware of President Trump’s of Executive Order 13777 and its direction that federal agencies are to identify regulations that eliminate or inhibit job creation, are outdated or unnecessary, or that impose costs exceeding their benefits. But the Association is also aware that this is not the first time that the Commission has reviewed its regulations. For example, the Commission sought public comments on how to improve the agency’s existing regulations in a Notice issued on November 4, 2011 entitled, “Retrospective Review of Existing Rules.” The NCBFAA responded at that time with some of the same suggestions discussed below. And,

subsequent to that, the NCBFAA filed a petition seeking to significantly modify those same regulatory restrictions. Although the Commission has issued several exemptions from the Act that have been helpful and well-received by the industry, there is still work to be done. It is with that background that the following comments are offered.

I. THE COMMISSION SHOULD TOTALLY EXEMPT NVOCC RATE TARIFFS FROM REGULATION

It has now been almost twenty years since the enactment of the Ocean Shipping Reform Act (“OSRA”), a statute which fundamentally changed the way international ocean shipping into and out of the United States was to be administered by the trade and regulated by the Commission. While OSRA made a number of amendments to the Shipping Act, the shift from a common carriage, “one size fits all” rate tariff system to privately negotiated rates and contracts was a seismic shift in how ocean shipping business was done. Instead of relying on Vessel Operating Common Carrier (“VOCC”) tariff rates and non-confidential contracts that had to be made available to all shippers, OSRA changed the industry overnight to one in which virtually all rates and services offered by VOCCs and their shippers were privately and confidentially negotiated in service contracts. This all took place at one time, 1998, and the system has worked well for shippers and the VOCCs.

Although the Commission recognized that the market served by Non-Vessel Operating Common Carriers (“NVOCCs”) warranted similar regulatory relief from a rigid rate tariff system that immediately became anachronistic, the efforts to reform the regulatory structure for NVOCCs have not been as effective or efficient. Unlike the situation with VOCC service contracts, changes that led to, first, NVOCC Service Arrangements (“NSAs”) and, later, NVOCC Rate Arrangements (“NRAs”) have come far more slowly. The NSA and NRA exemptions were achieved after 3 separate rulemakings with the filing of numerous petitions by

the NCBFAA and others, coupled with the submission of numerous comments filed by the industry. These initiatives sought to persuade the Commission to exercise its broad exemption authority and loosen unnecessary regulatory burdens on NVOCCs and their customers. In addition to the petitions that led directly to the rulemakings in which the NSA and NRA exemptions were ultimately granted, the NCBFAA filed similar comments in 2011 (in response to the Commission's Notice of November 4, 2011 entitled "Retrospective Review of Existing Rules") and later another Petition on April 6, 2015 (requesting that an rulemaking be initiated to address existing, burdensome restrictions in both NRAs and NSAs).¹

The NCBFAA and its members are of course grateful that the Commission issued the NRA and NSA exemptions. But, the utility of both of these exemptions is compromised by restrictions that do not appear to serve any useful or reasonable purpose. As the agency charged with having expertise to oversee efficient international shipping with a minimum of government intervention and regulatory cost by relying on the marketplace,² the Commission is certainly aware that there are literally thousands of NVOCCs that are available to serve US importers and exporters. Similarly, the Commission is well aware that intermediaries in aviation (*i.e.*, indirect air carriers or "IACs") and surface transportation (*i.e.*, domestic freight forwarders) are not required to file tariffs or otherwise configure their commercial relationships in accordance with some arcane regulatory structure. Yet, shippers in the aviation and domestic transportation fields have not been disadvantaged due to some perceived lack of governmental oversight over their commercial arrangements.

¹ For a history of the various petitions and comments that have been filed with respect to the issue of NSAs and NRAs, see the April 6, 2015 Petition of the NCBFAA for Initiation of Rulemaking that was assigned Docket No. P2-15.

² 46 U.S.C. § 40101.

Like its counterparts in aviation and surface transportation, the ocean intermediary industry is fully competitive. If a shipper cannot negotiate an acceptable rate with an IAC or domestic freight forwarder or if some dispute does arise between the parties, there are many alternatives ready and willing to replace the incumbent. That fact is just as true in the maritime industry. But now, almost 20 years after the enactment of OSRA, NVOCCs are the only intermediaries that still face having strict regulatory controls on the rates offered their customers.

Accordingly, before addressing any changes that should be made in the NSA and NRA regulations, the Commission should consider why it should not now issue a blanket exemption that totally eliminates existing rate tariff regulations for NVOCCs. In considering this issue, it is important to recall the purpose tariffs were intended to serve – namely, to establish a non-discriminatory system of common carriage in an industry served by dominant carriers where there were significant barriers to entry for would-be competitors. To remedy this, Congress initially created rate tariffs as a way of ensuring that all shippers were treated the same so that larger shippers or carriers with significant market power could not prefer some shippers to the disadvantage of others. Later, tariffs were used for other modes of transportation (surface, air, pipeline, etc.) as a way of determining whether a carrier's rates were excessive. However, neither the Commission nor its predecessor agency ever had jurisdiction over the reasonableness of carrier rates, so that the reasonableness of rates is not relevant to the Shipping Act's rate tariff publication regime.

The record already developed in the prior rulemakings on this topic conclusively demonstrates that rate tariffs no longer serve any of their intended purposes. Initially, there are no barriers to entry into the NVOCC market. Without meaning to understate the essential services NVOCCs provide the shipping public, no significant investment in fixed assets is

required and it is relatively easy to solicit business and serve shippers in any market. Hence, NVOCCs – which do not have antitrust immunity – cannot exercise undue market power against either shippers or their vendors, but must instead compete for business based upon their individual rate and service offering. As such, the existence of rate tariffs does not provide protection from the ravages of the former Standard Oil type of monopolists.

Second, with the enactment of OSRA and the advent of individualized, confidential contracting and rate negotiations, NVOCCs – and VOCCs – are no longer required to treat all shippers the same. Indeed, the explicit purpose of OSRA was to have rates and service offering determined by an efficient and competitive marketplace. And, the statute actually encourages the use of individualized rates by essentially eliminating the non-discrimination provisions of the Act.³

Third, rate tariffs do not serve as any benchmark or notice to shippers of rate levels, since it has long been clear that virtually no one ever accesses NVOCC rate tariffs. Indeed, although rate tariffs are supposedly publicly available (assuming one can find the correct item in some website), in reality that is not the case. As no one ever accesses them, an NVOCC rate item is functionally just as confidential as service contracts and NSAs.

Nor do the parties use rate tariffs as the basis on which NVOCC traffic will move. Instead, as intended by OSRA, NVOCC rates are uniformly separately negotiated with their customers; the days of “one size fits all” ended in 1998 just as the industry and Congress intended. Moreover, the Commission implicitly recognized recently that the advance notice function of tariffs has become irrelevant when it issued an exemption permitting VOCCs and NVOCCs to retroactively file amendments to their service contracts and NSAs. Docket No. 16-

³ See, e.g., Section 41104, which limits prohibitions relating to discrimination to matters arising under tariffs.

05, *Amendments to Regulations Governing Service Contracts and NVOCC Service Arrangements* (decision served March 29, 2017).

Paradoxically, the existence of rate tariffs can itself create unnecessary disputes between NVOCCs and their customers. Because of the filed rate doctrine, a shipper could be subject to a suit for underpayments up to 3 years after its cargo moves simply because there is a published rate item that is higher than a negotiated rate that was not properly memorialized through an NRA process.⁴ Conversely, another curious by-product published of tariff rates exists due to independent rate auditors; it is not unusual for such parties to review tariffs to see if they can find a lower rate item than one to which the shipper had agreed. Again, rather than facilitate the movement of cargo, the existence of highly technical, complex tariff rate items can actually create controversy.

In any event, there is no need to memorialize rates in tariff form just in case there is some later dispute. As the NVOCC industry is highly competitive, customers are acquired or retained by providing reliable service at negotiated rates, rather than because a rate tariff has been published. And, if a dispute arises, it is invariably commercially resolved by those parties or the shipper goes elsewhere. It is exceedingly rare to have a situation where a shipper or NVOCC to engage in litigation because of some dispute over the rate that was quoted.

Consequently, the continued existence of NVOCC rate tariffs serves only to (1) maintain the cottage industry of tariff publishers, who publish the various rate tariff items at considerable cost to NVOCCs; (2) compel NVOCCs to dedicate scarce personnel resources to ensure that rate tariffs are published and are consistent with the thousands of rate quotes the company may be

⁴ That situation would be comparable to the so-called “undercharge crisis” that afflicted the motor carrier industry prior to the enactment of the Interstate Commerce Commission Termination Act of 1995. In those cases, motor carrier bankruptcy trustees essentially extorted millions of dollars from shippers that had paid negotiated rates that were lower than the filed tariffs.

giving even if the would-be customer elects to work with another NVOCC⁵ and (3) create unnecessary legal liability for NVOCCs with respect to potential FMC penalties.

While granting a broad exemption from the rate tariff provisions of the Act would make NVOCCs more efficient and reduce costs, granting that relief would not adversely affect shippers. The shipper community was a staunch advocate of moving away from public tariffs in favor of individualized, confidential contracts during the legislative process that led to the enactment of OSRA. More recently, shippers have supported the NSA and NRA exemptions, recognizing that removing artificial regulatory procedures makes NVOCCs more efficient and better able to provide service to their customers.

The Association is aware that issuing a broad exemption of rate tariffs will not be positive for tariff publishers. But just as tariffs were eliminated for, first, aviation and, later, surface transportation, the proverbial handwriting has been on the wall for a long time that tariff publication in and of itself was becoming an irrelevant, endangered business. There will always be a need in the shipping industry for companies that can provide rate and shipment information and many tariff publisher now provide these added value services. However, the provision of information needs to be relevant and provide some legitimate purpose in order to have value. That is certainly not the case for NVOCC rate tariffs.

At this point, the NCBFAA does not know what position the VOCCs will take on this issue. In the past, some of the liners supported the NRA and NSA exemptions, while others disagreed. The dissenting comments tended to complain that granting those exemptions would somehow give NVOCCs a competitive advantage over the VOCCs. But that complaint is

⁵ As tariff rates are required by regulation (46 CFR § 520.7(c)) to be published in advance of receipt of the cargo, NVOCCs are necessarily required to publish all potentially applicable rates for traffic they solicit unless they are using NRAs or NSAs.

difficult to understand or accept. At the end of the day, and as eloquently stated by former FMC Chairman Chris Koch, NVOCCs of necessity are customers, not competitors, of VOCCs.

Competition between NVOCCs and vessel operators (VO's) to the extent it exists, differs fundamentally from VO-VO competition. When vessel operators compete, someone wins and carries the cargo and someone loses and doesn't. To the extent VO's and NVO's "compete," the competition is for who issues a shipper a bill of lading and makes a little more money as a result. Even when the NVO wins in that exercise, the VO's aren't total losers because they will – they must – still carry the cargo on their ships.

Statement of Chairman Koch on NVOCC Tariff Filing, 26 S.R.R.465 (August, 1992).

Consequently, the Association believes that any concerns the VOCCs might express on this issue would be misguided and that it is now time for the Commission to initiate a rulemaking seeking comments on exempting the sections of the Act and amending those regulations that pertain to rate tariffs.

II. THE RESTRICTIONS ON THE CONTENT AND USE OF NRAS SHOULD BE ELIMINATED

The NRA exemption has been a resounding success and the NCBFAA greatly appreciates the Commission's willingness to recognize that its regulations should evolve as the industry changes in response to the OSRA amendments to the Shipping Act. The exemption has greatly simplified and rationalized the NVOCC rate negotiation process, permitting scarce resources to be put to more efficient use and eliminating a significant cost center that clearly no longer was relevant, let alone important, in the NVOCC market. And, not surprisingly, this benefit was achieved without any harm to shippers or other detriment to commerce.

In the 7 years that have passed since the NRA exemption was issued, it has become clear that the limitations on what can properly be included in NRAs were unnecessary and that it is time for the Commission to review those restrictions. As the Commission is aware, when the

NRA exemption was granted, the decision in Docket No. 10-03 stated that the exemption would not apply to economic terms as credit, late payment interest, freight collect or prepay, rate methodology, minimum quantities, time/volume arrangements, penalties or incentives, the methods for implementation of rate changes, or provisions for arbitration, forum selection for disputes and variance of per-package liability limits. The only reason advanced for this limitation was that Commission staff had raised concerns “that expanding the scope of the NRA beyond rates could cause overlap and confusion between NRAs and NSAs, which, unlike NRAs must be filed with the Commission.” [NRA Decision, at 11355.]

While permitting NRAs to include economic terms other than the base rates may reduce or eliminate the role for NSAs, the NCBFAA believes that NSAs have never been more than a midpoint on the way to full recognition of the need for rate tariff reform. The record in the NRA proceeding conclusively demonstrates that shippers and NVOCCs alike supported the broad, unrestricted use of NRAs. All of the large number of comments filed in Docket 10-03 (with the understandable exception of several tariff publishing companies) pointed out that rate tariffs were no longer useful, as OSRA changed the way shippers dealt with both carriers and NVOCCs. Now, virtually all traffic and rate arrangements are separately negotiated on a one on one basis. And, those negotiated arrangements applied to more than just base rates, as the contracting parties – and in this environment, the NVOCCs and shippers are contracting parties – often want to cover a variety of service terms, including:

- Minimum volumes or time/volume rates
- Liquidated damages
- Credit terms
- Service guarantees and/or service benchmarks, measurements and penalties

- Surcharges, GRIs or other pass-through charges from the carriers or ports
- Rate amendment processes
- EDI services
- Dispute resolution
- Liability
- Rate or service amendments

Each of these terms are relevant to some extent to every rate and service negotiation between an NVOCC and an existing or prospective customer. Yet, none of the items on this list can properly be included in an NRA. Instead, the parties must either file those terms in an NSA or simply not cover them except in a tariff format, which is contrary to the commercial interests of the shipper and NVOCC.

The sole reason for this quandary is the concern expressed by Commission staff, but not by the members of this industry, that NRAs may start to look like NSAs. While that may well be the case, that is not necessarily a bad result. The underlying rationale that led the Commission to grant the NRA exemption in the first place is that “the ability of NVOCCs to enter into NRAs may increase competition and promote commerce *by allowing NVOCCs to better serve their shipper customers.*” (NRA Decision, at 11354; emphasis added.) Yet, by determining that some terms cannot be included in NRAs, the better service that the Commission had in mind has been artificially limited. After all, both NSAs and NRAs are intended to cover specified volumes of cargo, rather than just single shipments. There is no apparent rationale for a system where the consequences for a shipper not satisfying its volume commitment may be covered in a single document in the case of the NSA, while this topic may not properly be addressed in the NRA (but rather must be separately published in the NVOCC’s rules tariff). Putting the matter simply,

this limitation creates inconveniences for both parties and impedes their ability to negotiate a single comprehensive arrangement that would serve their respective interests in a way that the parties themselves desire.

This raises the question of who benefits from this restriction? Certainly not NVOCCs, who must carefully publish these separately negotiated “non-rate” items in tariff form. Nor do shippers benefit, as they now need to refer to both the NRA and various tariff publications to understand the full nature of their contractual obligations (unless they signed an NSA). And, since tariffs are established and published unilaterally, shippers may not actually know about or have agreed to tariff-based provisions to which they would be bound. Moreover, even assuming this was relevant, the Commission’s regulatory oversight is not improved by compelling NVOCCs to separate out parts of their rate and service offerings into exempt and non-exempt parcels.

One other requirement that was imposed on NRAs is also worth reconsidering by the Commission – namely, the requirement in 46 CFR § 532.5 pertaining to the agreement between the parties and how that agreement is manifested. While the regulation does not literally require that the shipper actually indicate its consent by signing a document or responding by email, as applied Commission staff appears to feel that the requirement that NRAs be in writing means that the NVOCC’s rate offer *and* the shipper’s consent must be in writing. While having both parties indicate their assent to the agreement in writing would be ideal for lawyers, the real shipping world operates differently. Instead, it is normally the case that shippers simply tender and book their cargo in reliance on the rate quote and do not separately indicate, in writing, their acceptance. In those cases, which appear to occur in the large majority of instances, the booking of the cargo constitutes the acceptance of the rate offer. But as a matter of normal contract law,

that offer and acceptance is just as binding on the parties as would have been the case if there had been a formal exchange of letters or other communications. Hence, the Commission should clarify that some mutual writing is not necessary to have a binding NRA as long as the offer and acceptance is otherwise clear from the facts.

The NCBFAA urges that the Commission, should it elect not to grant the broad rate tariff exemption requested above, reconsider the artificial restrictions that were imposed on NRAs in 2010 and (1) permit NRAs to be amended, (2) allow NRAs to contain economic issues other than rates as the parties may agree, and (3) make it clear that a shipper's tendering or booking of cargo constitutes acceptance of an NRA.

III. THE REQUIREMENT THAT NSAS BE FILED WITH THE COMMISSION SHOULD BE RESCINDED

The NCBFAA is aware that a number of NVOCCs have found that the use of detailed, written NSA contracts is a useful mechanism and have incorporated this into their business models. Consequently, enabling NVOCCs to enter into contracts that resemble the service contracts that are used by VOCCs remains beneficial to the industry. That is not the case, however, for the (1) filing requirement of NSAs, as currently mandated by 46 CFR § 531.6 or (2) the concomitant requirement that their essential terms be published in a tariff per § 531.9.

When the Commission issued the NSA exemption, it decided to require that they be filed with the agency in the same manner as service contracts. Otherwise, the Commission opined, not filing NSAs "could substantially impact the competition between NVOCCs and VOCCs." (NSA Decision at 75,852.) Respectfully, it is time for the Commission to revisit that hypothesis, as this concern was misplaced. While both NVOCCs and VOCCs are treated as carriers under the Act, there are obvious differences in their activities as well as in the way they are regulated. As by former FMC Chairman Koch noted in the quote cited above, *supra* at p. 8, NVOCCs are

fundamentally different from VOCCs and should be treated differently. And, the Commission fully endorsed that perspective when issuing the NRA exemption, by pointing out that no VOCC raised any concern about being put at a competitive disadvantage due to any tariff exemption. (NRA Decision, at 11352.)

NVOCCs, unlike ocean carriers, do not enjoy or seek antitrust immunity. As a result, the terms of NSAs, unlike service contracts, do not contain collectively established boilerplate terms and conditions or include “voluntary guidelines” relating to pricing or service conditions. To the contrary, every NSA reflects private negotiations between a shipper and an NVOCC and covers *their* individual rate and service arrangements that typically pertain to traffic and logistical services for a specified volume of traffic over a stated period of time. While the filing of ocean carrier service contracts may be necessary or helpful for the FMC in ascertaining whether VOCCs are abusing their antitrust-immunized approved agreements or otherwise engaging in market distorting behavior, no such purpose is served by requiring NVOCCs to go through the same elaborate procedures. Instead, these procedures only add to unnecessary NVOCC costs without any countervailing public benefit.

While the Commission may have had a notion of comparable fairness in mind when authorizing the NSA exemption (*i.e.*, Why exempt NVOCC contracts if the same benefit is not being accorded VOCCs?), that form of *quid pro quo* is simply not sound regulatory policy. As noted above, NVOCCs are fundamentally different in important respects from VOCCS.

Parenthetically, it is worth noting that the VOCCs did not advocate, during the NSA rulemaking proceeding, that NVOCCs be burdened with filing NSAs. Instead, and as the NCBFAA suspects that the Commission has not had reason to review any of the NSAs or amendments that have been filed over the intervening 13 years, it is time to reconsider this

requirement and put an end to the required filing of NSAs and the publication of their essential terms.

IV. THE CO-LOADING REGULATIONS SHOULD BE MODIFIED IF NOT ELIMINATED

At the outset, there is no longer a reason – assuming there ever was a reason in the first instance – for the Commission to regulate co-loading. As the Commission is well-aware, the VOCC practice of engaging in space charters has made it possible for the carriers to operate far more efficiently and to better utilize the space on their vessels for revenue service. When the operator of a vessel has extra space that it cannot fill, the existence of space charter agreements with its otherwise direct competitors makes it possible to utilize that extra space, thus significantly reducing costs above the vessel operator and the space charter partners, which cost savings are typically passed on to shippers. These practices, even among horizontal competitors, are almost uniformly regarded as pro-competitive by economists and government regulators.

The practice of carrier-to-carrier co-loading among NVOCCs is no different than space chartering among vessel operators. In both instance, the parties are actually engaged in mutually beneficial space sharing. An NVOCC that has a service contract with a VOCC can maximize the use of that contract by offering space to other NVOCCs, who are often also direct competitors, thus minimizing wasteful duplication, increasing the efficiency and lowering the costs of all concerned. Again, those cost savings are necessarily passed along to the customers in this extraordinarily NVOCC competitive market. Unfortunately, the Commission's co-loading regulations appear to view this practice with suspicion, by adding requirements, both through regulation and through its enforcement policy, as if obtaining ocean transportation at efficient pricing is to be regarded as somehow inappropriate and contrary to sound economic policy.

The co-loading regulations, which are found in the section of the regulations dealing with tariffs (namely, 46 C.F.R. Part 520 – Carrier Automated Tariffs) are codified at Section 520.11(c). These regulations establish unique requirements, such as:

- NVOs are first required to state in their tariffs whether they do *not* intend to co-load with other NVOCCs;
- If an NVO does intend to enter into co-loading, *that* must also be noted;
- The regulations make a distinction between carrier-to-carrier co-loading and shipper-to-carrier co-loading, and NVOCCs are required to specify which type of arrangement may be relevant for them;
- In the event NVOs intend to enter into shipper-to-carrier relationships, the tendering NVOCC must “describe its co-loading practice and specify its responsibility to pay any charges for that transportation;”
- An NVOCC tendering cargo to another NVOCC for co-loading must annotate its bill of lading with the identity of the receiving NVOCC (“Such annotation shall be shown on the face of the bill of lading in a clear and legible manner.”); and
- NVOs may not offer special co-loading rates for the exclusive use of other NVOCCs.

Precisely why the FMC has singled out the NVOCC industry to be subjected to these arcane requirements is no longer clear, to the extent it ever was. Certainly, in the post-OSRA environment, there is no reason to dictate that an NVOCC for some reason cannot enter into a private agreement with another NVOCC concerning the rates it will assess to provide that space. Similarly, in the NRA and NSA environment, there is no reason to even have regulations relating to shipper-to-carrier co-loading, as NVOCCs can properly deal with each other in this type of

arrangement through the use of NRAs and NSAs even though that otherwise may appear to be co-loading.

Moreover, co-loading is beneficial to the VOCCs as well, as they then may be able to attract more cargo to fill their vessels (or space charter obligations) that would be the case if co-loading did not exist. Of course, if VOCCs do not want to permit NVOCCs to co-load, they can always preclude that by having appropriate provisions prohibiting the practice in their service contracts or tariffs.

If VOCCs do not need to annotate their bills of lading to indicate who is operating a vessel in which its space chartered cargo is moving, it is not clear why NVOCCs are burdened with this obligation. When implementing this requirement, the Commission indicated that the annotation was somehow required to educate shippers, stating:

Many shippers would be surprised, however, to learn that their cargo had been tendered to another NVOCC for co-loading. If this is the type of service offered by an NVOCC, then shippers have the right to know that fact. They can then make an intelligent choice on the type of service they prefer.

Docket No. 84-27, *Publishing and Filing Tariffs by Common Carriers in the Foreign Commerce of the United States; Co-Loading Practices by NVOCCs* (50 Fed. Reg. 14704, 14708).⁶

Over 30 years later, there is ample reason to question the accuracy of this opinion. For which, in any event, no evidentiary basis was provided. Precisely why this is important or necessary for shippers using NVOCCs but not those using VOCCs was not made clear then and appears to have little or no foundation today. In either case, the NVOCCs and the VOCCs issuing their respective house and master bills of lading, respectively, are directly liable to their shippers for performance of the contract of transportation. So, shippers do know precisely which

⁶ Indeed, as the recent experiences shippers and NVOCCs had resulting from the Hanjin bankruptcy eloquently demonstrates, it is if anything more important for shippers and NVOCCs to know whose vessel their cargo is on.

NVOCC they have used and can hold that entity directly liable if issues arise. That those NVOCCs (or VOCCs may in space charter situations) in turn have an indemnity claim against the third party that actually caused damage to cargo or failed to perform its contract does not change the liability of the NVOCC (or VOCC) that contracted with the shipper. The shipper's direct, and only, recourse is against the party that issued the bill of lading it receives; it has no privity of contract with the master loader or the carrier that actually operated the space chartered vessel.

The lack of legitimate purpose for this requirement was noted almost 20 years ago, in Docket No. 98-29, *Carrier Automated Tariff Systems*. In response to a number of comments, the Commission then observed that interested parties could file a petition seeking an exemption from those requirements. In other words, the Commission understood then that the reason for the regulations was being questioned, but nonetheless opted not to look into the matter then and has not considered the question itself in the intervening years. As this issue was not squarely addressed in the NRA and NSA exemption proceedings, this is an appropriate time for the Commission to now consider the need to micromanage what are clearly commercial relationships. That is especially the case when the failure to literally comply with the annotation requirement can lead otherwise compliant NVOCCs to being penalized by the Commission's Bureau of Enforcement ("BOE") for what appears largely to be technical violations, such as the failure to annotate bills of lading as is literally required by section 520.11(b)(2).⁷

Finally, the NCBFAA understands that BOE may of the opinion that it is unlawful for companies to engage in carrier-to-carrier co-loading in situations where the receiving NVOCC (or master loader) has a service contract with a VOCC. As we understand the situation, BOE

⁷ While it has no empirical evidence on this point, the NCBFAA would be surprised if any significant volume of co-loaded cargo complied with the annotation requirement.

regards this as a misuse of service contracts which purportedly violates section 10(a)(1) of the Act, 46 U.S. C. § 41102(a), by permitting the tendering NVOCC (what BOE apparently labels as an “indirect shipper”) to obtain transportation services at some level than the rates that would otherwise apply.

It is not clear at least to the NCBFAA why this type of co-loading is problematic, since the major beneficiary of co-loading is ultimately the underlying shipper. But it appears that BOE’s view on this issue may derive from a forced – and, in the Association’s view, incorrect – reading of a portion of the decision in *California Shipping Line, Inc. v. Yang Ming Marine Transport Corp.*, 25 S.R.R. 1213, 1233 (1990). If so, reliance upon that pre-OSRA – and, accordingly, obsolete – decision would clearly be misplaced for a number of reasons.

For example, now there is no limitation about the number of parties that can be involved in a service contract (or NSA). And, of course, the industry has moved into a total private contract context, and VOCCs are in no way prejudiced by the ability of NVOCCs to enter into carrier-to-carrier co-loading arrangements; indeed, it would be odd if master loaders did not have a service contract with a VOCC, since the entire industry functions that way. Third, if the VOCCs believe that their service contracts with NVOCCs should exclude co-loading, they know how to specify that. Fourth, since it is clear that NVOCCs’ customers are also indirect shippers, it is not clear why it is lawful for an NVOCC to obtain more economic rates for their shipper customers but not to do so for other NVOCCs.

Again, it is important to ask what purpose is served by having regulations that are both inconsistent with how business is done and sufficiently arcane and technical so as to trap unwary NVOCCs into potential violations? Co-loading is intended to reduce NVOCC costs, thus making it possible for us shippers and exporters to realize those cost savings. Yet, NVOCCs

have paid enormous penalties for what is referred to as “unlawful access to service contracts” even where the VOCC and the master loader were well-aware that the cargo was being co-loaded. And, of course, this should not obscure the point that co-loading has the important public benefits of maximizing the efficient utilization of resources, reducing costs and, importantly, making it possible for shippers to be more competitive in their markets by having lower freight costs.

Quite clearly, when reviewing the issue of NVOCC rate tariffs, one of the topics that should be high on the Commission’s agenda should be the issue of co-loading and what can be done to facilitate, rather than burden, the efficient utilization of space and resources that ultimately and necessarily results in lower prices for U.S. importers and exporters.

V. THE COMMISSION SHOULD ELIMINATE OTHER UNNECESSARY REGULATIONS

A. Section 515.41(c) Should be Eliminated

This subsection of the regulations pertaining to the fees that licensed freight forwarders can assess prohibits the rendering of services free of charge or at reduced fees “for any reason.” In the post-OSRA environment, where freight forwarders are operating in a competitive environment and rates and services are individually negotiated, there no longer seems to be any reason for the Commission to prescribe or limit the basis on which freight forwarders determine the fees they will assess. And, since it is not clear that this has ever been an issue in any event, the Commission should consider eliminating this regulation.

B. Section 515.42(b) Should be Eliminated

The state of the industry has changed since the rules relating to forwarder compensation were initially promulgated. Although licensed forwarders did at one point in time create and issue specific certifications that the company had performed the required services entitling it to

compensation, the practice in the industry has evolved significantly. The Commission recognized this several years ago when it permitted these certifications to be provided electronically.

Nonetheless, it is the practice in the VOCC industry that the carriers will pay compensation automatically when the forwarder is listed as such in the forwarder box on the master bill of lading. In other words, the carriers do not wait for forwarder invoices or to review any such certification prior to paying compensation, so that the need for the forwarder to retroactively create some form of certification no longer seems relevant.

Instead, the Association recommends that the Commission consider rewriting this section so that the forwarder is aware that placing its name in the forwarder box is tantamount to certifying that it has provided those functions. If it has not in fact provided those functions, the forwarder is not entitled to the compensation and will have contravened the regulations. Nevertheless, there seems little reason to require forwarders that have provided the necessary function entitling them to compensation to create additional documentation.

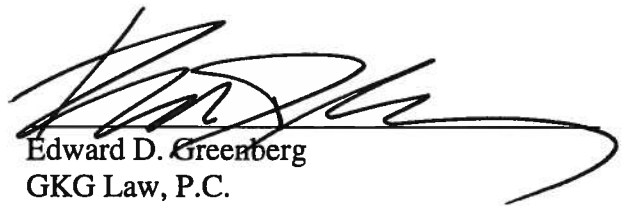
C. Section 515.42(a) Should be Amended

In its current form, this subsection requires that the identity of the actual shipper must always be disclosed in the shipper identification box on the bill of lading. The NCBFAA believes, however, that there are many instances in which the forwarder may be acting as agent for an undisclosed principal. It is not clear why the Commission should be dictating how bills of lading should be prepared, as these are commercial transportation documents whose purpose it is to evidence the contract of ocean transportation. By having this requirement, even if the issue comes up infrequently, the Commission is intruding into commercial issues that appear to have little relevance to its role of ensuring that there is a competitive ocean shipping industry.

VI. CONCLUSION

The NCBFAA appreciates the opportunity to submit these comments to the FMC's important initiative. The Association believes that this is an appropriate time for the Commission to revisit the regulations discussed above, both in light of the purpose those regulations were originally designed to serve as well as the regulatory and commercial changes that have taken place since the regulations were originally promulgated and the Shipping Act was amended by OSRA. In doing so, the NCBFAA is confident that the Commission will agree that most, if not all, of the items discussed above warrant serious reconsideration, with a view to doing to exactly what the President's Executive Order intended – namely, to ease unnecessary government regulations in order to make American businesses more competitive.

Respectfully submitted,



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